Family Firms, Expropriation and Firm Value :

Evidence of the Role of Banks in Malaysia

Chee Yoong, Liew,

SEGi University

Ervina Alfan

University of Malaya

S.Susela Devi

Unitar International University

Abstract: This paper examines the relationship between the number of domestic banks that the firm engages with and firm value and how this relationship is moderated by ownership concentration on a sample of Malaysian family and non-family firms. We find that there is a significant negative relationship between the number of domestic banks engaged by family firms and firm value. Furthermore, there is a significant positive moderating effect of ownership concentration on this relationship in family firms. However, there is inconclusive evidence that this significant negative relationship and significant positive moderating effect is stronger in family compared to non-family firms.

Keywords : corporate governance, banks, expropriation, family firms, agency problems

JEL Classifications: G34

1. INTRODUCTION

Most corporate governance discussions centre on the traditional shareholder-manager problems generally referred to as Agency Problem Type I – principal-agent problem (De Cesari, 2012) which is prevalent in widely held firms (Jensen and Meckling, 1976). However, in firms controlled by one or more shareholders with large stakes (controlled firms), corporate insiders possess incentives to pursue private benefits at the expense of outside shareholders, which result in minority shareholder expropriation (De Cesari, 2012). This is generally referred to as Agency Problem Type II – principal-principal problem. This problem is particularly prevalent in emerging markets (Ahlstrom, Chen and Yeh, 2010; Liu, Yang and Zhang, 2010).

In these markets, family controlling shareholders assume control of most businesses and they possess the incentives to expropriate minority shareholders (Cueto, 2013). However, reputational effects can mitigate this expropriation problem (Gomes, 2000; Khanna and Palepu, 2000; Khanna and Yafeh, 2007). However, Peng and Jiang (2010) argue that in emerging markets, these effects are deemed as a poor substitute for institutional deficiencies because even firms with good reputation exploited minority shareholders particularly during periods of financial crisis (Johnson et.al, 2000). Nevertheless, this line of reasoning is unconvincing because it does not take into account the effect of corporate governance fiascos such as the Transmile case[1] in Malaysia, which could have a strong reputational impact on the corporate governance of family firms. For that reason, the argument that reputational effects are a poor substitute for institutional deficiencies may not be valid.

[1] In the Transmile case which occurred in early 2007, the firm's revenue was inflated in the financial statement (Securities Commission, 2011b). This is a dent to the corporate reputation of family firms in this country as Transmile at that time is owned by the Kuok family which is one of the large family business groups in Malaysia.

Having considered the previous discussions, the extant literature did not examine the moderating effects of controlling shareholders' ownership on the relationship between the number of domestic banks that the firm engages with, and firm value. Therefore, it would be interesting to empirically analyse this moderating effects. The extant literature also provides limited empirical evidence as to whether the firm value effects of the number of domestic banks that the firm engages with and the moderating effects of controlling shareholders' ownership on this firm value effects, is more relevant in Malaysian family firms or non-family firms. Hence, it would be timely to conduct these comparisons.

This study has two theoretical contributions. First, it contributes to the theory of ownership structure. By examining the moderating role of controlling shareholders' ownership, the study extends the existing theory of ownership structure by providing robust empirical evidence on how controlling shareholders' ownership influence expropriation through the domestic banking channel within firms. Second, this study provides a new perspective to agency theory as the extant literature have not empirically examine the interplay between agency theory, corporate reputational effects and financial crisis within a single analysis.

The remainder of this paper is organised as follows. Section 2 discusses the Malaysian institutional setting, evaluates the extant corporate governance literature and develops the relevant hypotheses; Section 3 explains the research methodology; Section 4 discuss the descriptive statistics, endogeneity issues and research results; Section 5 summarises the research findings and discusses its implications and Section 6 concludes.

2. INSTITUTIONAL SETTING, LITERATURE REVIEW AND HYPOTHESES DEVELOPMENT

Malaysian Institutional Setting : Corporate Governance Development And Regulatory Framework

One of the major post-1997 corporate governance reforms in this country is the Malaysian Code of Corporate Governance (MCCG) was established in 2000. Despite significant improvements, the code was revised in 2007 (Securities Commission, 2007). The MCCG 2007 emphasise strengthening the board of directors and audit committees and ensuring that the board of directors and audit committees discharge their roles and responsibilities effectively (Securities Commission, 2007). To increase reforms, the Securities Commission (SC) further established the Corporate Governance Blueprint 2011 in 2011 (Securities Commission, 2011a). This blueprint consists of recommendations focusing on shareholder rights, role of institutional investors, board's role in governance, improving disclosure and transparency, role of gatekeepers and influencers and public as well as private enforcement (Asian Corporate Governance Association, 2012). In order to implement the Corporate Governance Blueprint 2011, the Securities Commission further revised the MCCG 2007 in 2012 (Securities Commission, 2012). The MCCG 2012, which supersedes the 2007 code, sets out principles on structures and processes for companies' board so that the board could incorporate good corporate governance into their firms' business dealings and corporate culture (Securities Commission, 2012).

Despite the issuance of the MCCG in 2000, 2007 and 2012, these codes of corporate governance are possibly ineffective in improving corporate governance (i.e. reducing minority shareholder expropriation) due to the voluntary nature of the adoption of its principles.

Controlling shareholders in Malaysia possibly view the adoption of these principles as not mandatory, and this provide them incentives to expropriate minority shareholders, even though, they are still required to state in their annual reports the extent of their compliance, with an explanation for any departure (Securities Commission, 2007, 2012; Wahab et.al., 2007).

Another important corporate governance development in Malaysia is the creation of external corporate governance mechanism to ensure fair treatment and protection of minority shareholder rights (Wahab et.al., 2011). To monitor and protect the rights of minority shareholders and to promote shareholder activism, the High Level Finance Committee recommended the establishment of the Minority Shareholder Watchdog Group (MSWG) in February, 1999 (Wahab et.al., 2011). The main roles of MSWG are to act as a platform in initiating collective shareholder activism on unethical practices by management of public-listed firms; monitoring of breaches in corporate governance practices by public-listed companies; to provide training programmes to promote shareholder activism and the benefits of good corporate governance practices (Wahab et.al., 2011). With the formation of MSWG, it is expected that minority shareholder expropriation can be reduced as this is one avenue of market discipline to encourage good corporate governance amongst public listed companies (MSWG, 2012). However, the effectiveness of MSWG in reducing minority shareholder expropriation is disputable because unlike, the Securities Commission (SC), it does not possess the legal authority to bring cases of minority shareholder expropriation to the court. Its main role is only to promote shareholder activism to protect the rights of minority shareholders by acting as external monitors of corporate governance practices in public-listed firms. Therefore, the role of MSWG in reducing the problem of minority shareholder expropriation is deemed to be not entirely effective.

Minority Shareholder Expropriation

The principal-principal conflict or Agency Problem Type II has been identified as a major corporate governance problem in emerging markets (Young et.al., 2008). This conflict is between two groups of principals: controlling shareholders and minority shareholders (Jiang and Peng, 2011). Young et.al. (2008) argue that the principal-principal conflict is likely to be severe when the firm is owned and controlled by one large shareholder or one family of owners. The principal-principal conflict in emerging markets differs from the principal-agent problem that is prevalent in developed economies. This difference is explained by Figure 2.1.

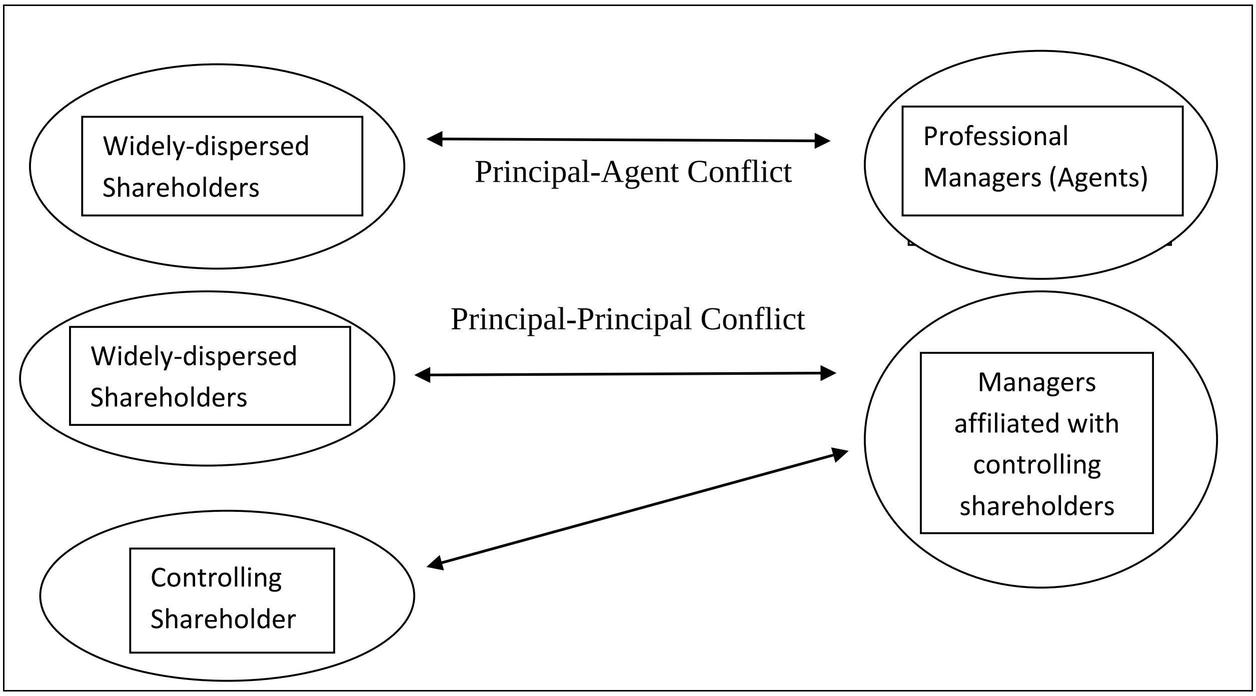

Figure 2.1 : Principal-Principal Conflict vs. Principal-Agent Conflict.

Source : Young et.al. (2008)

In the top panel of Figure 2.1, the arrow depicts the traditional principal-agent conflict that occurs between dispersed shareholders and professional managers. In the bottom panel of Figure 2.1, the slanting arrow depicts the relationship between the controlling shareholders and their affiliated managers. These affiliated managers may be family members or associates who reports directly to the controlling shareholders (Young et.al., 2008). The straight line depicting the conflict is drawn between the affiliated managers – who represent the controlling shareholders - and the minority shareholders. Hence, the conflict actually is between the controlling shareholders on one hand and dispersed minority shareholders on the other hand (Young et.al., 2008).

Hypotheses Development

The Number Of Domestic Banks That The Firm Engages With

Theoretical analyses suggest that bank-firm relationship can reduce information asymmetries, improve the firm's success to credit and lead to an overall improvement in the firm's performance (Castelli et.al., 2012). Diamond (1984) and Fama (1985) argue that banks possess the ability to obtain better information about their borrowers and therefore, they have the advantage in carrying out monitoring functions. Diamond (1984) develops a theory of financial intermediation based on minimising the cost of monitoring borrowers' information which is useful for resolving incentive problems between borrowers and lenders. His theory proves the superiority of banks in terms of lower cost of monitoring borrowers. Specifically, this informational advantage provides the strength for domestic banks to act as good monitors.

However, domestic banks possess its own disadvantages. It emphasise long-term and close customer relationships, and a close relationship leads to higher availability of loans in general (Focarelli and Pozzolo, 2000) which could lead to abuse and expropriation by firms in poor investor protection and regulatory environment (Faccio et.al., 2001b) such as Malaysia and other emerging markets. Furthermore, expropriation through domestic banks can be argued to be potentially more severe in family firms compared to non-family firms because family owners can take advantage of their close domestic banking relationship to enhance their private objectives such as firm survival at the expense of minority shareholders (Anderson and Reeb, 2003).

Having considered the previous discussions, it is argued that the resulting effect of the number of domestic banks engaged by the firm towards its firm value can result in expropriation by controlling shareholders particularly from family firms.

Thus, the following hypotheses are developed:

H_{1a}: There is a negative relationship between the number of domestic banks that the firm engages with and firm value in Malaysian family firms.

H_{1b}: If there is a negative relationship between the number of domestic banks that the firm engages with and firm value in Malaysian family firms, this negative relationship is likely to be stronger in family firms compared to non-family firms.

Moderating Effects Of The Controlling Shareholder's Ownership Concentration, Expropriation And Firm Value

The moderating role of ownership concentration on expropriation is important to be examined, particularly in emerging markets, due to the prevalence of high ownership concentration in such markets (Claessens et al., 2000; Morck and Yeung, 2003).

In the context of the emerging markets, particularly in Asia, it is argued that there is a positive relationship between ownership concentration and firm value (Heugens et al., 2009) (hence, a positive moderating effect of ownership concentration on the relationship between the number of domestic banks that the firm engages with and firm value). In institutional setting of emerging markets, investors have no choice but to play their role as firm monitors, which they can only exercise effectively by concentrating their equity holdings. Concentrated ownership provides them both more powerful incentives to become involved in governance, as well as a means to influence managers through direct access strategies and influence of their concentrated voting rights (David et al., 2007). Consequently, controlling shareholders can stimulate or even coerce the corporate leadership to work in their interest (Heugens et al., 2009). Hence, increased ownership concentration may possibly allow controlling shareholders to increase their corporate control, thus, reducing Agency Problem Type I i.e. the conflict between controlling shareholders and managers. This induces a positive relationship between ownership concentration and firm value (hence, a positive moderating effect of ownership concentration on the relationship between the number of domestic banks that the firm engages with and firm value).

In addition, in the context of the Malaysian institutional setting and corporate governance environment, it is further argued that after the Transmile case, reputational concerns possibly play a role in influencing a positive moderating effect of family controlling shareholders' ownership on expropriation. These reputational effects are particularly prevalent in family owners in large family firms who usually hold high equity stakes. These family owners would like to improve their reputation after the Transmile case because Transmile is a large family-owned corporation in Malaysia. Large family owners would like to see that their reputation improved because poor corporate reputation can affect them and their family members (Gomez, 1999; Loy, 2010).

It is argued that the reputational effects work the following way. As the shareholding of family owners increases, they possess higher ownership stakes of their firms. Consequently, they have higher incentives to take care of their reputation by reducing minority shareholder expropriation. Thus, increased ownership helps align the incentives of family owners to those of minority shareholders due to the reputational effects (Loy, 2010). In other words, reputational effects help align the incentives of family owners to those of minority shareholders and this reduces Agency Problem Type II i.e. the conflict between the controlling shareholder and the minority shareholders. Ultimately this induces a positive moderating effect of controlling shareholders' ownership on the impact of controlling shareholders' expropriation on firm value.

Based on the above arguments, it is hypothesised that controlling shareholders' ownership is likely to positively moderate the relationship between the number of domestic banks that the firm engages with and firm value in this research.

Based upon these explanations, the following hypotheses are developed:

H_{2a} : There is a positive moderating effect of the controlling shareholder's ownership on the relationship between the number of domestic banks that the firm engages with and firm value in Malaysian family firms.

H_{2b} : If there is a positive moderating effect of the controlling shareholder's ownership on the relationship between the number of domestic banks that the firm engages with and firm value in Malaysian family firms, this positive moderating effect is likely to be stronger in family firms compared to non-family firms.

3. RESEARCH METHODOLOGY

Research Design

Sample

For this study, we use secondary data related to the types of ultimate owner, financial information and board statistics for the period 2007-2009. This is a period of financial crisis (2007-2009)(Mishkin, 2016). This period is chosen because corporate governance matters more during times of financial crisis (Johnson et.al, 2000). In addition, the period of 2007-2009 is chosen in order to take into consideration the family firm reputational effects after the Transmile case in 2007 which could affect the research results. As such, the period 2007-2009 is chosen because this research analyses the interplay between agency theory, corporate reputational effects and the financial crisis in a single study. All the data are obtained from companies' annual reports as well as from Bloomberg database.

In this study, family firms are defined as firms which are controlled by individuals or families with at least 20% voting rights (Chakrabarty, 2009)[2] as well as family involvement in their firms' management. For the latter, this requires at least one family member hold a managerial position (i.e. board member, CEO or chairman, chairman of the syndicate pact) (Cascino et.al, 2010).

Table 1 shows how the final sample of family firms from 2007 to 2009 is derived.

Table 1 right here

[2] The 20% threshold is used as the majority (76%) of family firms' controlling shareholders in the Main Market Bursa Malaysia hold at least 20% shareholding.

Table 2 shows how the final sample of non-family firms from 2007 to 2009 is derived.

Table 2 right here

Variables Definition And Measurement

Table 3 explains the proxies used to measure the dependent variables in this study :

Table 3 right here

Table 4 explains the independent variables used in this study:

Table 4 right here

Research Model

For hypotheses testing, panel data analysis using the Fixed Effects Model (FEM) together with an instrumental variable is used because the FEM (Chi, 2005) together with an instrumental variable can address the endogeneity problem effectively (Evans et.al, 1993). The panel data regression is conducted on both family firms and non-family firms. The model for this research are as follows:

Family Firm Model

1. $Q_t = \beta_0 + \beta_1(Banks)_t + \beta_2(OC)_t(Banks)_t + \beta_3(RPT)_t + \beta_4(Tenure)_t + \beta_5(OC)_t + \beta_6(SIZE)_t + \beta_7(RISK)_t + \beta_8(LEV)_t + \beta_9(IDR)_t + \beta_{10}(NAB)_t + \beta_{11}(AGE)_t + \beta_{12}(SG)_t + \beta_{13}(RDS)_t + \beta_{14}(CS)_t + \beta_{15}(MS)_t + \mu_t$
2. $MBV_t = \beta_0 + \beta_1(Banks)_t + \beta_2(OC)_t(Banks)_t + \beta_3(RPT)_t + \beta_4(Tenure)_t + \beta_5(OC)_t + \beta_6(SIZE)_t + \beta_7(RISK)_t + \beta_8(LEV)_t + \beta_9(IDR)_t + \beta_{10}(NAB)_t + \beta_{11}(AGE)_t + \beta_{12}(SG)_t + \beta_{13}(RDS)_t + \beta_{14}(CS)_t + \beta_{15}(MS)_t + \mu_t$

3. $ROE_t = \beta_0 + \beta_1(Banks)_t + \beta_2(OC)_t(Banks)_t + \beta_3(RPT)_t + \beta_4(Tenure)_t + \beta_5(OC)_t + \beta_6(SIZE)_t + \beta_7(RISK)_t + \beta_8(LEV)_t + \beta_9(IDR)_t + \beta_{10}(NAB)_t + \beta_{11}(AGE)_t + \beta_{12}(SG)_t + \beta_{13}(RDS)_t + \beta_{14}(CS)_t + \beta_{15}(MS)_t + \mu_t$

4. $ROA_t = \beta_0 + \beta_1(Banks)_t + \beta_2(OC)_t(Banks)_t + \beta_3(RPT)_t + \beta_4(Tenure)_t + \beta_5(OC)_t + \beta_6(SIZE)_t + \beta_7(RISK)_t + \beta_8(LEV)_t + \beta_9(IDR)_t + \beta_{10}(NAB)_t + \beta_{11}(AGE)_t + \beta_{12}(SG)_t + \beta_{13}(RDS)_t + \beta_{14}(CS)_t + \beta_{15}(MS)_t + \mu_t$

Non-Family Firm Model

1. $Q_t = \beta_0 + \beta_1(Banks)_t + \beta_2(OC)_t(Banks)_t + \beta_3(RPT)_t + \beta_4(Tenure)_t + \beta_5(OC)_t + \beta_6(SIZE)_t + \beta_7(RISK)_t + \beta_8(LEV)_t + \beta_9(IDR)_t + \beta_{10}(NAB)_t + \beta_{11}(AGE)_t + \beta_{12}(SG)_t + \beta_{13}(RDS)_t + \beta_{14}(CS)_t + \beta_{15}(MS)_t + \mu_t$

2. $MBV_t = \beta_0 + \beta_1(Banks)_t + \beta_2(OC)_t(Banks)_t + \beta_3(RPT)_t + \beta_4(Tenure)_t + \beta_5(OC)_t + \beta_6(SIZE)_t + \beta_7(RISK)_t + \beta_8(LEV)_t + \beta_9(IDR)_t + \beta_{10}(NAB)_t + \beta_{11}(AGE)_t + \beta_{12}(SG)_t + \beta_{13}(RDS)_t + \beta_{14}(CS)_t + \beta_{15}(MS)_t + \mu_t$

3. $ROE_t = \beta_0 + \beta_1(Banks)_t + \beta_2(OC)_t(Banks)_t + \beta_3(RPT)_t + \beta_4(Tenure)_t + \beta_5(OC)_t + \beta_6(SIZE)_t + \beta_7(RISK)_t + \beta_8(LEV)_t + \beta_9(IDR)_t + \beta_{10}(NAB)_t + \beta_{11}(AGE)_t + \beta_{12}(SG)_t + \beta_{13}(RDS)_t + \beta_{14}(CS)_t + \beta_{15}(MS)_t + \mu_t$

4. $ROA_t = \beta_0 + \beta_1(Banks)_t + \beta_2(OC)_t(Banks)_t + \beta_3(RPT)_t + \beta_4(Tenure)_t + \beta_5(OC)_t + \beta_6(SIZE)_t + \beta_7(RISK)_t + \beta_8(LEV)_t + \beta_9(IDR)_t + \beta_{10}(NAB)_t + \beta_{11}(AGE)_t + \beta_{12}(SG)_t + \beta_{13}(RDS)_t + \beta_{14}(CS)_t + \beta_{15}(MS)_t + \mu_t$

Combined Model (Family And Non-Family Firms)

1. $Q_t = \beta_0 + \beta_1(Banks)_t + \beta_2(FT)_t(Banks)_t + \beta_3(OC)_t(Banks)_t + \beta_4(FT)_t(OC)_t(Banks)_t + \beta_5(RPT)_t + \beta_6(Tenure)_t + \beta_7(OC)_t + \beta_8(SIZE)_t + \beta_9(RISK)_t + \beta_{10}(LEV)_t + \beta_{11}(IDR)_t + \beta_{12}(NAB)_t + \beta_{13}(AGE)_t + \beta_{14}(SG)_t + \beta_{15}(RDS)_t + \beta_{16}(CS)_t + \beta_{17}(MS)_t + \beta_{18}(FT)_t + \mu_t$
2. $MBV_t = \beta_0 + \beta_1(Banks)_t + \beta_2(FT)_t(Banks)_t + \beta_3(OC)_t(Banks)_t + \beta_4(FT)_t(OC)_t(Banks)_t + \beta_5(RPT)_t + \beta_6(Tenure)_t + \beta_7(OC)_t + \beta_8(SIZE)_t + \beta_9(RISK)_t + \beta_{10}(LEV)_t + \beta_{11}(IDR)_t + \beta_{12}(NAB)_t + \beta_{13}(AGE)_t + \beta_{14}(SG)_t + \beta_{15}(RDS)_t + \beta_{16}(CS)_t + \beta_{17}(MS)_t + \beta_{18}(FT)_t + \mu_t$
3. $ROE_t = \beta_0 + \beta_1(Banks)_t + \beta_2(FT)_t(Banks)_t + \beta_3(OC)_t(Banks)_t + \beta_4(FT)_t(OC)_t(Banks)_t + \beta_5(RPT)_t + \beta_6(Tenure)_t + \beta_7(OC)_t + \beta_8(SIZE)_t + \beta_9(RISK)_t + \beta_{10}(LEV)_t + \beta_{11}(IDR)_t + \beta_{12}(NAB)_t + \beta_{13}(AGE)_t + \beta_{14}(SG)_t + \beta_{15}(RDS)_t + \beta_{16}(CS)_t + \beta_{17}(MS)_t + \beta_{18}(FT)_t + \mu_t$
4. $ROA_t = \beta_0 + \beta_1(Banks)_t + \beta_2(FT)_t(Banks)_t + \beta_3(OC)_t(Banks)_t + \beta_4(FT)_t(OC)_t(Banks)_t + \beta_5(RPT)_t + \beta_6(Tenure)_t + \beta_7(OC)_t + \beta_8(SIZE)_t + \beta_9(RISK)_t + \beta_{10}(LEV)_t + \beta_{11}(IDR)_t + \beta_{12}(NAB)_t + \beta_{13}(AGE)_t + \beta_{14}(SG)_t + \beta_{15}(RDS)_t + \beta_{16}(CS)_t + \beta_{17}(MS)_t + \beta_{18}(FT)_t + \mu_t$

Q_{it}: Performance measured by Tobin's Q at year t.

MBV_{it} : Performance measured by Market-to-Book Value Ratio at year t.

ROE_{it} : Performance measured by Return On Equity at year t.

ROA_{it} : Performance measured by Return On Asset at year t.

$Banks_{it}$: The number of domestic banks engaged by the firm at year t.

$(FT)_{it}(Banks)_{it}$: Firm type dummy variable at year t, 1 for family firms, 0 for non-family firms multiplied by the number of domestic banks engaged by the firm at year t.

$(OC)_{it}(Banks)_{it}$: Controlling shareholders' ownership concentration in the firm at year t multiplied by the number of domestic banks engaged by the firm at year t.

$(FT)_{it}(OC)_{it}(Banks)_{it}$: Firm type dummy variable at year t, 1 for family firms, 0 for non-family firms multiplied by the controlling shareholders' ownership concentration in the firm at year t multiplied by the number of domestic banks engaged by the firm at year t.

RPT : Amount of Related Party Transactions That Are Likely to Result in Expropriation at year t divided by Total Related Party Transactions Value at year t.

$Tenure_{it}$: Average tenure of independent directors in the firm at year t.

OC_{it}: Controlling shareholders' ownership concentration in the firm at year t (%)

Control Variables

$SIZE_{it}$: Firm Size (Ln (Total Assets)) at year t

$RISK_{it}$: ln (Firm Risk (Standard Deviation of monthly stock returns from 2007-2009)) at year t

LEV_{it}: ln (Leverage (Long-term Debt/Total Assets)) at year t

IDR_{it}: Independent Directors Ratio (No. of independent directors/Board Size) at year t

NAB_{it}: Non-affiliated Blockholder Shareholding at year t

AGE_{it}: ln (Age) at year t

SG_{it}: Sales Growth at year t

RDS_{it} : Research and Development Expenditure-to-Sales at year t

CS_{it}: Capital Expenditure-to-Sales at year t

MS_{it}: Marketing and Advertising Expenditure-to-Sales at year t

FT_{it}: Firm type dummy variable at year t, 1 for family firms, 0 for non-family firms.

μ_{it}: Stochastic error term at year t

4. DESCRIPTIVE STATISTICS, ENDOGENEITY ISSUES AND RESEARCH RESULTS

Descriptive Statistics

Table 5 here

Table 6 here

Table 7 here

Table 8 here

Table 5 and 6 present the summary statistics of the continuous variables of the family firm and non-family samples. These statistics show that among firm value variables, MBV is relatively more volatile due to its higher standard deviation (1.0694 for family firms and 2.7994 for non-family firms); among the independent variables, sales growth (93.2766 for family firms) and non-affiliated blockholders (82.9609 for non-family firms) share the same characteristic.

Table 7 and Table 8 show the correlation matrix for family firms and non-family firms respectively.

Endogeneity Issues

Empirical studies relating firm value to ownership concentration potentially suffer from the problem of endogeneity due to the information advantage of controlling shareholders. This information advantage could possibly be derived from their involvement in firms' management (Andres, 2008). Due to this advantage, controlling shareholders are able to assess their firms' future prospects, hence, enabling them to keep their shares when firm value is high and sell their shares when it is low. Therefore, there could be a possibility that ownership is determined by firm value (Andres, 2008). Thus, endogeneity test i.e. the Hausman Specification Test (Hausman, 1978) is performed to test whether this endogeneity exist or not. The results show that ownership concentration is endogenously related to Return on Equity (ROE) and Return on Asset (ROA) in family firms and Tobin's Q in non-family firms.

To address this endogeneity issue, we used an instrumental variable (IV) together with the Fixed Effect Model (FEM)(Chi, 2005; Evans et.al, 1993) to reduce this endogeneity problem drastically. Since, Demsetz and Lehn (1985) argued that ownership is a function of firm size and risk, the instrumental variable used is the predicted value of ownership concentration which is obtained by regressing the original ownership concentration values against firm size, the square of firm size and firm risk (Himmelberg et.al, 1999). The Fixed Effect Model (FEM) is also able to reduce other types of endogeneity problems which may be present within the research model but not accounted for in this research (Chi, 2005).

Research Results

Table 9 shows the regression results of the Fixed Effects Model for family firms and Table 10 shows the results of the Fixed Effects Model for non-family firms. Table 11 shows the regression results of the Fixed Effects Model for the combination of both family and non-family firms.

Table 9 here

Table 10 here

Table 11 here

An analyses of Table 9 and 11 show that there is a significant negative relationship between the number of domestic banks that the firm engages with and firm value (ROA) in family firms. However, there is inconclusive evidence on whether this significant negative relationship is stronger in family firms compared to non-family firms. There is also a significant positive moderating effect of ownership concentration on the relationship between the number of domestic banks that the firm engages with and firm value (ROA) in this type of firms. However, there is inconclusive evidence on whether this significant positive moderating effect is stronger in family firms compared to non-family firms. On the other hand, the analyses of Table 10 and 11 reveal that the relationship between the number of domestic banks that the firm engages with and firm value in non-family firms is inconclusive. The moderating effect of ownership concentration on the relationship between the number of domestic banks that the firm engages with and firm value in this type of firms is also inconclusive as well.

To test the robustness of the results, industry effects in this research are controlled by excluding industries which contain only family or non-family firms. If industry effects are not controlled, they can cause bias to the regression results because they may have an impact towards firm value (Porter, 1980). It is found that the main research results for family firms and non-family firms (i.e. the effect of the number of domestic banks that the firm engages with firm value and the moderating effect of ownership concentration on this relationship) are robust against industry effects.

5. DISCUSSION AND IMPLICATIONS

This study reveals two findings. Firstly, there is a significant negative relationship between the number of domestic banks that the firm engages with and firm value in family firms. However, this negative relationship is restricted to accounting-based performance measure only (i.e.

ROA). This negative relationship finding similar to the findings by Fok et.al. (2004). In addition, there is inconclusive evidence to argue that this significant negative relationship is stronger in family firms compared to non-family firms. Hence, hypotheses 1a is supported but 1b is not supported.

Secondly, there is a significant positive moderating effect of ownership concentration on the relationship between the number of domestic banks that the firm engages with and firm value in family firms. However, again, this positive moderating effect is restricted to accounting-based performance measure only (i.e. ROA). Furthermore, there is inconclusive evidence to argue that this significant positive moderating effect is stronger in family firms compared to non-family firms. Hence, hypotheses 2a is supported but 2b is not supported.

These two findings are robust against the control of industry effects. There are four important implications of this research. First, the significant results which are restricted to Return on Assets (ROA) only shows that ROA is a better measurement than Tobin's Q because it is independent of the firm's liability structure (Fok et.al, 2004; Mehran, 1995). Furthermore, the insignificant results of measurements such as Market-to-Book Value (MBV) and Return on Equity (ROE) show that they are more suitable for all-equity firms (Fok et.al, 2004). Second, this research shows that the number of domestic banks engaged by the firm do encourage expropriation in family firms. Third, consistent with what is argued, ownership concentration does have a positive moderating effect on the firm value effects due to the number of domestic banks engaged by family firms. Fourth, in response to the existence of expropriation through domestic banks by family firms as evidenced by this research, the relevant authorities in this country such as the Securities Commission (SC) should devise certain regulations or policies which restrict family firms from having a close relationship with domestic banks as well as reducing the number of domestic banks engaged by such firms.

6. CONCLUSION

This research shows that there is a significant negative relationship between the number of domestic banks engaged by family firms and firm value in the context of the Malaysian capital markets. This is consistent with the finding by Fok et.al (2004) that the number of domestic banks that the firm engaged with reduces firm value as well as consistent with the arguments by Faccio et.al. (2001b) that domestic banking relationship could lead to abuse and expropriation by firms particularly family firms, within poor investor protection and regulatory environment such as Malaysia and other emerging markets. This research also show that ownership concentration does have a positive moderating effect on expropriation due to the number of domestic banks engaged by family firms in the context of the Malaysian capital markets. This refutes the argument by Peng and Jiang (2010) that in developing economies, corporate reputational effects are deemed as a poor substitute for institutional deficiencies. In this research, as a consequence of the Transmile scandal, corporate reputational effects encourage family controlling shareholders to reduce expropriation when their shareholding increase; thus, the positive moderating effect of ownership concentration.

There are also certain limitations of this research. This paper only analyse public-listed firms whereby data is available. Nonpublic-listed firms are not accounted for in this research. In addition, the analyses only compare family and non-family firms. Further breakdown of the type of non-family firms for comparative analyses with family firms are not conducted.

Lastly, there are several suggestions for future research. First, future research could analyse minority shareholder expropriation in a qualitative manner by investigating issues such as how expropriation is affected by the firm's management style, leadership style, quality of institutions in the country, etc. These issues are equally important to corporate governance studies. For example, research can be conducted to investigate how minority shareholder expropriation can be affected by institutional transitions and strategic changes in emerging economies (Young et.al., 2008). Secondly, future research should explore new areas of expropriation, which is not covered in this research. For example, future studies could analyse how the structure of a business group could affect minority shareholder expropriation (Young et.al., 2008).

REFERENCES

Ahlstrom, D., Chen, S.-J., & Yeh, K. S. (2010). Managing in ethnic Chinese communities : Culture, institutions and context. *Asia Pacific Journal of Management, 27*(3), 341-354.

Anderson, R. C., and Reeb, D. M. (2003). Founding-family ownership and firm performance: Evidence from the S&P 500. *The Journal of Finance, 58*(3), 1301-1328.

Andres, C. (2008). Large shareholders and firm performance--An empirical examination of founding-family ownership. *Journal of Corporate Finance*, *14*(4), 431-445.

ACGA. (2012). CG watch 2012: Market rankings. Retrieved 4th November, 2012, from http://www.fide.org.my/file/CGAsia2012.pdf

Bai, C. N., Liu, Q., Lu, J., Song, F. M., and Zhang, J. (2003). Corporate governance and market valuation in China. William Davidson Working Paper Number 564. The William Davidson Institute, University of Michigan Business School.

Capon, N., Farley, J., Hoening, S. (1996). *Toward an integrative explanation of corporate financial performance*. Boston: Kluwer Academic Publishers.

Cascino, S., Pugliese, A., Mussolino, D., and Sansone, C. (2010). The Influence of family ownership on the quality of accounting information. *Family Business Review, 23*(3), 246-265.

Castelli, A., Dwyer, G. P., & Hasan, I. (2012). Bank relationships and firms' financial performance: The Italian experience. *European Financial Management, 18*(1), 28-67.

Chakrabarty, S. (2009). The influence of national culture and institutional voids on family ownership of large firms: A country level empirical study. *Journal of International Management, 15*(1), 32-45.

Chi, J. (2005). Understanding the endogeneity between firm value and shareholder rights. *Financial Management, 34*(4), 65-76.

Claessens, S., Djankov, S., Lang, L. (2000). The separation of ownership and control in East Asian corporations. *Journal of Financial Economics, 58,* 81-112.

Cueto, D. C. (2013). Substitutability and complementarity of corporate governance mechanisms in Latin America. *International Review of Economics & Finance, 25*(0), 310-325.

David, P., Hitt, M.A., Liang, T.W. (2007). The benefits and costs of large block ownership before and during the East Asian crisis. Working Paper.

De Cesari, A. (2012). Expropriation of minority shareholders and payout policy. *The British Accounting Review* (0).

Demsetz, H., and Lehn, K. (1985). The structure of corporate ownership: Causes and consequences. *The Journal of Political Economy, 93*(6), 1155-1177.

Diamond, D. W. (1984). Financial intermediation and delegated monitoring. *The Review of Economic Studies, 51*(3), 393-414.

Evans, W. N., Froeb, L. M., & Werden, G. J. (1993). Endogeneity in the concentration--price relationship: Causes, consequences, and cures. *The Journal of Industrial Economics, 41*(4), 431-438.

Faccio, M., Lang, L.H.P., Young, L. (2001a). Debt and corporate governance. Working Paper. Chinese University of Hong Kong.

Faccio, M., Lang, L.H.P., Young, L. (2001b). *Debt and expropriation.* Paper presented at the EFMA Lugano Meetings, Lugano, Switzerland.

Fama, E. F. (1985). What's different about banks? *Journal of Monetary Economics, 15*(1), 29-39.

Focarelli, D., & Pozzolo, A. (2000, May). *The determinants of cross-border shareholding : An analysis with bank-level data from OECD countries.* Paper presented at the Federal Reserve Bank of Chicago Bank Structure Conference, Chicago, Illinois, USA.

Fok, R. C. W., Chang, Y.-C., and Lee, W.-T. (2004). Bank relationships and their effects on firm performance around the Asian Financial crisis: Evidence from Taiwan. *Financial Management, 33*(2), 89-112.

Gomes, A. (2000). Going public without governance: Managerial reputation effects. *The Journal of Finance, 55*(2), 615-646.

Gomez, E. T. (1999). *Chinese business in Malaysia : Accumulation, ascendance, accomodation*. Honolulu: University of Hawaii Press.

Hausman, J. A. (1978). Specification tests in econometrics. *Econometrica, 46*(6), 1251-1271.

Heugens, P. M. A. R., Essen, M., & Oosterhout, J. (2009). Meta-analyzing ownership concentration and firm performance in Asia: Towards a more fine-grained understanding. *Asia Pacific Journal of Management, 26*(3), 481-512.

Himmelberg, C. P., Hubbard, R. G., and Palia, D. (1999). Understanding the determinants of managerial ownership and the link between ownership and performance. *Journal of Financial Economics, 53*(3), 353-384.

Holderness, C. G., and Sheehan, D. P. (1988). The role of majority shareholders in publicly held corporations: An exploratory analysis. *Journal of Financial Economics, 20,* 317-346.

Ibrahim, H. (2009). *Family-ownership and performance: Evidence from Malaysian public-listed companies.* PhD Thesis, University Malaya, Kuala Lumpur.

Jensen, M., Meckling, W. (1976). Theory of the firm: Managerial behaviour, agency costs and capital structure. *Journal of Financial Economics, 3*(4), 305-360.

Jiang, Y., and Peng, M. (2011). Principal-principal conflicts during crisis. *Asia Pacific Journal of Management, 28*(4), 683-695.

Johnson, S., Boone, P., Breach, A., Friedman, E. (2000). Corporate governance in the Asian financial crisis. *Journal of Financial Economics, 58,* 141-186.

Khanna, T., & Palepu, K. (2000). Is group affiliation profitable in emerging markets? An analysis of diversified Indian business groups. *The Journal of Finance, 55*(2), 867-891.

Khanna, T., & Yafeh, Y. (2007). Business groups in emerging markets: Paragons or parasites? *Journal of Economic Literature, 45*(2), 331-372.

Liu, W., Yang, H., & Zhang, G. (2010). Does family business excel in firm performance? An institution-based view. *Asia Pacific Journal of Management*, 1-23.

Loy, T. C. J. (2010). *Dynasting across cultures: A grounded theory of Malaysian chinese family firms.* Dissertation for Doctor of Philosophy, University of Minnesota.

Mehran, H. (1995). Executive compensation structure, ownership, and firm performance. *Journal of Financial Economics, 38*(2), 163-184.

Mishkin, F. (2016). *The economics of money, banking and financial markets* (11th ed.): Pearson.

Morck, R., Yeung, B. (2003). Agency problems in large family business groups. *Entrepreneurship, Theory and Practice, Summer*, 367-382.

MSWG. (2012). Minority Shareholder Watchdog Group. Retrieved 10th June, 2012, from http://www.mswg.org.my/web/page.php?pid=36andmenu=sub

Peng, M. W., & Jiang, Y. (2010). Institutions behind family ownership and control in large firms. *Journal of Management Studies, 47*(2), 253-273.

Porter, M. (1980). *Competitive strategy: Techniques for analysing industries and competitors*. New York, USA: Free Press.

Rechner, P. L., and Dalton, D. R. (1991). CEO duality and organizational performance: A longitudinal analysis. *Strategic Management Journal, 12*(2), 155.

Reddy, K., Locke, S., and Scrimgeour, F. (2010). The efficacy of principle-based corporate governance practices and firm financial performance: An empirical investigation. *International Journal of Managerial Finance, 6*(3), 190-219.

Sarkar, J., and Sarkar, S. (2000). Large shareholder activism in corporate governance in developing countries: Evidence from India. *International Review of Finance, 1*(3), 161.

Securities Commission (2011a). Corporate governance blueprint 2011. Retrieved 11th January, 2012, from http://www.sc.com.my/eng/html/cg/cg2011/pdf/cg_blueprint2011.pdf

Securities Commission (2011b). Former Transmile directors sentenced to jail and fined for misleading disclosures. Retrieved 14th July, 2012, from http://www.sc.com.my/main.asp?pageid=379andlinkid=2963andyearno=2011andmod=paper

Securities Commission (2012). Malaysian Code on Corporate Governance 2012. Retrieved 10th June, 2012, from http://www.sc.com.my/eng/html/cg/cg2012.pdf

Securities Commission (2007). The Malaysian Code on Corporate Governance (Revised 2007). from http://www.sc.com.my/eng/html/cg/cg2007.pdf

Wahab, E., Haron, H., Char, L. L., and Yahya, S. (2011). Does corporate governance matter? Evidence from related party transactions in Malaysia. In *International Corporate Governance* (Vol. 14, pp. 131-164): Emerald Group Publishing Limited.

Wahab, E. A. A., How, J. C. Y., & Verhoeven, P. (2007). The impact of the Malaysian code on corporate governance: Compliance, institutional investors and stock performance. *Journal of Contemporary Accounting & Economics, 3*(2), 106-129.

Xu, X., Wang, Y. (1997). Ownership structure, corporate governance and corporate performance : The case of Chinese stock companies. Policy Research Working Paper. World Bank.

Yermack, D. (1996). Higher market valuation of companies with a small board of directors. *Journal of Financial Economics*, *40*(2), 185-211.

Young, M. N., Peng, M.W., Ahlstrom, D., Bruton, G.D., Jiang, Y. (2008). Corporate governance in emerging economies: A review of the principal-principal perspective. *Journal of Management Studies*, *45*(1), 196-220.

APPENDIX

Table 1: Description of Data Set Selected For Family Firms

Data Description	Number of Companies
Total Main Market family firms listed on Bursa Malaysia and could be utilized in the research, as at 31st December, 2007	498
Minus : Financial related family firms	48
Minus : Family firms with missing data	3
Minus : Family firms with at least 20% family ownership but no family members involved in management	30
Minus : Family firms with less than 20% family ownership	38
Number of Family Firms available for observation	**379**

Table 2: Description of Data Set Selected For Non-Family Firms

Data Description	Number of Companies
Total Main Market non-family firms listed on Bursa Malaysia and could be utilized in the research, as at 31st December, 2007	223
Minus : Financial related non-family firms	24
Minus : Non-family firms with missing data	6
Minus : Non-family firms with less than 20% ownership by controlling shareholders	42
Number of Non-family Firms available for observation	**151**

Table 3 : Dependent Variables and Measurement

No.	Dependent Variable	Measurement
1	Firm value Proxy 1	Proxy is Tobin's Q (Bai, Liu, Lu, Song and Zhang, 2003). Tobin's Q is measured by the ratio of (Total Market Value of Equity + Total Book Value of Liabilities)/ (Total Book Value of Equity + Total Book Value of Liabilities) (Anderson and Reeb, 2003; Faccio et.al, 2001a; Yermack, 1996).
2	Firm value Proxy 2	As an alternative measure to firm value, the market to book value (MBV) is also used. MBV is calculated as the ratio of the product of the number of equity shares and the closing price of the stock on the last day of the financial year to total equity (Reddy, Locke and Scrimgeour, 2010; Sarkar and Sarkar, 2000). MBV is empirically a cleaner measure than Tobin's Q and has been utilised as an alternative to it for emerging market studies (e.g. by Xu and Wang (1997) on China), as well in other studies (Capon et.al, 1996). This measure is also more aligned to shareholders' objectives (Sarkar and Sarkar, 2000). However, it excludes debt. Hence, both Tobin's Q and MBV are utilised in this research to check for the robustness of the results to alternative measures of market-based performance.

3	Return On Equity (ROE) Proxy 3	Return on Equity (ROE) is used as part of the accounting-based performance measures for this kind of study (Ibrahim, 2009). ROE is measured by Net Income / Total Common Equity (Holderness and Sheehan 1988; Rechner and Dalton, 1991).
4	Return On Asset (ROA) Proxy 4	Return on Asset (ROA) is used as part of the accounting-based performance measures for this kind of study (Ibrahim, 2009). ROA is measured by Net Income / Total Assets (Anderson and Reeb, 2003; Holderness and Sheehan 1988).

Table 4: Independent and Control Variables and Measurement

Independent Variable	**Description**
The Number of Domestic Banks That The Firm Engages With (Banks)	This value will be calculated based upon data as disclosed in the organisational profile of the annual report.
Control Variables	In line with prior corporate governance literature, we control for fourteen variables, namely, (1) Ownership concentration (OC) (2) Average tenure of independent directors (Tenure); (3) Related party transactions which are likely to result in expropriation; (4) Firm size (SIZE); (5) Firm risk (RISK); (6) Leverage (LEV); and (7) Proportion of independent directors (IDR); (8) Firm age (AGE); (9) Non-affiliated blockholders (NAB); (10) Sales growth (SG); (11) R & D expenditure-to-sales (RDS); (12) Capital expenditure-to-sales (CS); (13) Marketing and advertising expenditure-to-sales (MS) and (14) Firm Type.

Table 5

Descriptive Statistics For Full Sample Family Firms					
	Mean	**Median**	**Standard Deviation**	**Maximum**	**Minimum**
Tobin's Q	0.8780	0.7801	0.5226	7.0322	0.0631
ROE	0.0396	0.0688	0.3043	3.0037	-5.3488
ROA	0.0323	0.0386	0.0810	0.4117	-0.6432

Market-to-Book Value (MBV)	0.8027	0.5849	1.0694	16.2962	-0.3955
Related Party Transactions That Are Likely To Result In Expropriation Ratio (RPT)	0.3285	0.1843	0.3528	0.9997	0.0000
Ownership Concentration	42.1420	41.1800	13.3102	99.1600	20.1800
Predicted Ownership Concentration	42.0626	42.5332	1.5741	44.0562	34.4134
Average Independent Directors' Tenure	6.0354	5.3330	3.8628	31.0000	0.0000
Banks	2.8179	2.0000	1.7385	10.0000	0.0000
Ln(Firm Risk)	-2.2835	-2.3327	0.9758	1.2590	-5.3454
Leverage	0.1323	0.0885	0.1831	2.7988	0.0000
Firm Size	19.6350	19.4900	1.2024	24.4960	16.9470
Independent Directors Ratio	0.4240	0.4000	0.1135	0.8330	0.1820
Non-affiliated Blockholders	27.2503	14.7600	38.9662	339.2600	0.0000
Ln(Age)	2.9626	3.0910	0.7287	4.6347	0.0000
Sales Growth	14.4226	6.4538	93.2761	2254.7070	-96.8719
R&D Expenditure-to-Sales	0.1445	0.0000	1.8187	35.6826	0.0000
Capital Expenditure-to-Sales	9.2843	3.6383	27.2080	561.4003	-37.0511
Marketing and Advertising Expenditure-to-Sales	2.3014	0.4010	4.0991	62.0660	0.0000

Table 6

Descriptive Statistics For Full Sample Non-Family Firms					
	Mean	**Median**	**Standard Deviation**	**Maximum**	**Minimum**
Tobin's Q	1.1582	0.8812	1.0831	11.3300	0.2553
ROE	0.0577	0.0889	1.0485	2.5277	-20.7650
ROA	0.0695	0.0563	0.5531	11.0594	-1.8846
Market-to-Book Value (MBV)	1.3298	0.7493	2.7994	34.8749	-2.4040
Related Party Transactions That Are Likely To Result In Expropriation Ratio (RPT)	0.1483	0.0000	0.2905	0.9955	0.0000
Ownership Concentration	46.0735	48.4100	15.9517	89.6200	2.1000
Predicted Ownership Concentration	43.3272	43.9792	4.4702	49.5352	26.4726
Average Independent Directors' Tenure	6.0393	5.0000	4.1113	20.3330	0.0000
Banks	2.4084	2.0000	1.4059	10.0000	0.0000

Ln(Firm Risk)	0.2876	0.1635	0.3615	2.7491	0.0063
Leverage	0.1257	0.0731	0.1403	0.6967	0.0000
Firm Size	20.1482	19.8880	1.4059	24.9910	16.3070
Independent Directors Ratio	0.4283	0.4000	0.1166	0.8330	0.1430
Non-affiliated Blockholders	55.2784	24.5630	82.9609	517.6300	0.0000
Ln(Age)	24.5828	21.0000	16.4803	118.0000	1.0000
Sales Growth	7.1040	4.8082	43.7810	418.1182	-87.1248
R&D Expenditure-to-Sales	0.0804	0.0000	0.4510	5.9684	0.0000
Capital Expenditure-to-Sales	7.7666	3.4241	15.1208	207.9674	0.0000
Marketing and Advertising Expenditure-to-Sales	3.3794	0.0000	7.1290	59.1911	0.0000

Table 7: Correlation Matrix (Family Firms)

	Q	**MBV**	**ROE**	**ROA**	**RPT**	**OC**	**OCF**	**AIDT**	**BANKS**	**LNRISK**	**LEV**	**FSIZE**	**IDR**	**NAB**	**LNAGE**	**SG**	**RDS**	**CS**	**MS**
Q	1.00																		
MBV	0.62	1.00																	
ROE	0.09	0.12	1.00																
ROA	0.20	0.17	0.58	1.00															
RPT	0.09	0.09	0.01	0.00	1.00														
OC	0.01	0.06	0.05	0.10	0.14	1.00													
OCF	0.05	0.00	0.12	0.18	0.13	0.06	1.00												
AIDT	-0.02	0.02	0.17	0.18	0.02	0.09	0.08	1.00											
BANKS	0.01	-0.03	-0.06	-0.05	0.05	-0.12	0.12	0.01	1.00										
LNRISK	0.33	0.20	0.19	0.23	0.16	0.12	0.13	0.24	0.01	1.00									
LEV	0.30	0.04	-0.02	-0.06	0.10	0.02	0.09	-0.08	0.06	0.16	1.00								
FSIZE	0.19	0.08	0.15	0.19	0.19	0.16	0.49	0.29	0.11	0.53	0.32	1.00							
IDR	-0.08	-0.08	-0.07	-0.08	-0.03	0.03	-0.01	0.01	0.01	0.06	0.02	0.07	1.00						
NAB	-0.01	-0.02	0.02	0.05	-0.04	-0.09	-0.02	-0.05	-0.06	0.12	0.00	0.04	-0.08	1.00					
LNAGE	0.01	0.03	0.03	0.03	-0.03	0.17	0.07	0.39	0.00	0.14	-0.04	0.22	0.13	-0.04	1.00				
SG	0.04	0.06	0.07	0.10	0.04	0.06	0.06	-0.05	-0.03	0.10	0.01	0.07	-0.05	0.07	-0.05	1.00			
RDS	0.00	0.02	0.00	-0.01	-0.02	-0.03	-0.07	-0.02	0.00	-0.02	-0.02	-0.06	0.00	0.09	0.01	-0.02	1.00		
CS	0.03	0.01	-0.03	-0.04	0.02	0.01	0.04	-0.05	-0.06	0.08	0.11	0.13	0.07	0.05	-0.02	-0.04	-0.01	1.00	
MS	0.01	0.03	0.00	-0.02	-0.07	-0.04	-0.02	-0.03	-0.08	0.01	-0.05	-0.05	-0.01	0.01	-0.05	-0.02	-0.04	0.00	1.00

Q : Tobin's Q; **MBV** : Market-to-Book Value; **ROE** : Return On Equity; **ROA** : Return On Asset; **RPT** : Related Party Transactions Which Are Likely To Result In Expropriation; **OC** : Ownership Concentration; **OCF** : Predicted Ownership Concentration; **AIDT** : Independent Directors' Tenure; **BANKS** : Number Of Domestic Banks That The Firm Engages With; **LNRISK** : Natural Logarithm Of Firm Risk; **LEV** : Leverage; **FSIZE** : Firm Size; **IDR** : Independent Directors' Ratio; **NAB** : Non-Affiliated Blockholders; **LNAGE** : Natural Logarithm Of Firm Age; **SG** : Sales Growth; **RDS** : Research & Development Expenditure-To-Sales; **CS** : Capital Expenditure-To-Sales; **MS** : Marketing & Advertising Expenditure-To-Sales

Table 8: Correlation Matrix (Non-Family Firms)

	Q	MBV	ROE	ROA	RPT	OC	OCF	AIDT	BANKS	LNRISK	LEV	FSIZE	IDR	NAB	LNAGE	SG	RDS	CS	MS
Q	1.00																		
MBV	0.79	1.00																	
ROE	0.08	0.22	1.00																
ROA	0.16	0.05	-0.86	1.00															
RPT	-0.10	-0.08	0.00	-0.03	1.00														
OC	0.04	0.11	0.10	0.02	-0.14	1.00													
OCF	0.02	0.21	0.19	-0.07	-0.09	0.34	1.00												
AIDT	0.02	0.14	0.07	-0.02	0.20	0.11	0.16	1.00											
BANKS	-0.07	-0.10	0.00	-0.04	-0.12	-0.21	-0.01	-0.10	1.00										
LNRISK	0.35	0.36	0.10	0.06	-0.07	0.23	0.58	0.10	-0.01	1.00									
LEV	0.04	0.15	0.04	-0.03	0.00	0.00	0.22	-0.04	0.08	0.01	1.00								
FSIZE	0.00	0.13	0.13	-0.05	-0.08	0.28	0.89	0.11	0.03	0.43	0.34	1.00							
IDR	-0.01	-0.06	-0.01	-0.04	0.01	0.03	-0.07	-0.02	-0.12	-0.03	0.06	-0.04	1.00						
NAB	-0.10	-0.08	-0.02	0.00	0.15	-0.02	-0.13	0.05	-0.08	-0.06	-0.13	-0.15	-0.05	1.00					
LNAGE	0.06	0.11	0.05	-0.03	0.12	0.09	0.17	0.46	0.06	0.17	0.00	0.13	0.10	-0.10	1.00				
SG	0.00	0.02	0.10	-0.01	0.03	0.10	0.16	-0.02	-0.03	0.15	0.07	0.10	-0.05	0.04	-0.06	1.00			
RDS	0.06	0.01	-0.01	-0.01	-0.04	-0.04	-0.09	-0.05	-0.08	0.02	-0.10	-0.10	0.02	-0.07	-0.06	-0.07	1.00		
CS	-0.03	-0.01	0.00	-0.02	0.03	-0.03	0.08	-0.06	0.02	-0.03	0.41	0.12	-0.06	-0.07	-0.05	0.11	-0.01	1.00	
MS	0.06	0.08	0.04	-0.01	-0.11	0.06	0.01	-0.04	-0.05	-0.01	-0.04	-0.01	0.01	0.04	-0.02	0.10	0.04	-0.05	1.00

Q : Tobin's Q; **MBV** : Market-to-Book Value; **ROE** : Return On Equity; **ROA** : Return On Asset; **RPT** : Related Party Transactions Which Are Likely To Result In Expropriation; **OC** : Ownership Concentration; **OCF** : Predicted Ownership Concentration; **AIDT** : Independent Directors' Tenure; **BANKS** : Number Of Domestic Banks That The Firm Engages With; **LNRISK** : Natural Logarithm Of Firm Risk; **LEV** : Leverage; **FSIZE** : Firm Size; **IDR** : Independent Directors' Ratio; **NAB** : Non-Affiliated Blockholders; **LNAGE** : Natural Logarithm Of Firm Age; **SG** : Sales Growth; **RDS** : Research & Development Expenditure-To-Sales; **CS** : Capital Expenditure-To-Sales; **MS** : Marketing & Advertising Expenditure-To-Sales

TABLE 9: ACTUAL REGRESSION RESULTS (MAIN RESULTS): NORMAL OLS REGRESSION FIXED EFFECTS MODEL (FAMILY FIRMS)

Expected Signs	Independent Variables And Intercept	Dependent Variable				Expected Signs	Independent Variables And Intercept	Dependent Variable			
		Tobin's Q		MBV				ROE		ROA	
		Coeff.	t-stats	Coeff.	t-stats			Coeff.	t-stats	Coeff.	t-stats
+/-	Intercept	2.279601***	6.384915	1.462234**	2.178480	+/-	Intercept	-0.939161***	-3.508725	-0.343834***	-4.154953
-	Related Party Transactions Which Are Likely To Result In Expropriation Ratio (RPT)	0.041495	1.101663	0.022291	0.333063	-	Related Party Transactions Which Are Likely To Result In Expropriation Ratio (RPT)	-0.016788	-0.709639	-0.007622	-1.062431
-	Average Independent Directors' Tenure (TENURE)	-0.001272	-0.256853	0.000120	0.012771	-	Average Independent Directors' Tenure (TENURE)	0.008685***	3.312061	0.002942***	3.580075
-	No. of Domestic Banks Engaged by the Firm (BANKS)	0.017147	0.544913	0.018618	0.312919	-	No. of Domestic Banks Engaged by the Firm (BANKS)	-0.020876**	-2.173847	-0.009043***	-2.927901
+	Ownership Concentration (OC)	0.001455	0.604553	0.005273	1.149651	+	Predicted Ownership Concentration (OCF)	0.017418**	2.455649	0.007039***	3.251140
+/-	Firm Size (SIZE)	-0.064751***	-3.654978	-0.015840	-0.472871	+/-	Firm Size (SIZE)	0.019573*	1.717098	0.007156**	2.106607
+	Ln (Firm Risk)	0.130809***	9.129738	0.154186***	6.201486	+	Ln (Firm Risk)	0.026118***	2.612769	0.008155***	2.774730
+/-	Leverage (LEV)	0.895318***	13.81362	0.029047	0.250682	+/-	Leverage (LEV)	-0.055495	-1.330694	-0.050888***	-3.933471

+/-	**Independent Directors Ratio (IDR)**	-0.157378	-1.185940	-0.353588	-1.466149	+/-	**Independent Directors Ratio (IDR)**	-0.081708	-1.046657	-0.041594*	-1.747567
+	**Non-Affiliated Blockholders (NAB)**	-0.000928**	-2.145533	-0.002989***	-3.633514	+	**Non-Affiliated Blockholders (NAB)**	0.0000507	0.214797	0.0000838	1.175126
+	**Ln (Age)**	0.018754	0.604759	0.002520	0.037447	+	**Ln (Age)**	-0.020980	-1.549967	-0.008246*	-1.821381
+	**Sales Growth (SG)**	0.0000707	0.686337	0.000266	1.413772	+	**Sales Growth (SG)**	0.0000729	0.927680	0.0000296	1.607615
+	**R&D Expenditure-to-Sales (RDS)**	0.004543	0.487589	-0.005265	-0.288062	+	**R&D Expenditure-to-Sales (RDS)**	0.000589	0.121628	0.000680	0.453868
+	**Capital Expenditure-to-Sales (CS)**	0.000323	0.887029	0.000691	1.130516	+	**Capital Expenditure-to-Sales (CS)**	-0.000190	-0.566597	-0.000126	-1.558546
+/-	**Marketing & Advertising Expenditure-to-Sales (MS)**	0.002044	0.689401	0.007350	1.484672	+/-	**Marketing & Advertising Expenditure-to-Sales (MS)**	0.0000760	0.035268	-0.000711	-1.138828
	OC x BANKS	-0.000332	-0.459049	-0.000736	-0.538805		**OCF x BANKS**	0.000316	1.498509	0.000148**	2.194065
	N	379		379			**N**	379		379	
	Adjusted R-Squared (%)	21.8561		8.3379			**Adjusted R-Squared (%)**	5.2216		7.8619	
	F-Statistic	19.68995		7.078471			**F-Statistic**	4.681490		6.701904	

** 10% sig.level ** 5% sig.level *** 1% sig.level*

TABLE 10: ACTUAL REGRESSION RESULTS (MAIN RESULTS) : NORMAL OLS REGRESSION FIXED EFFECTS MODEL (NON-FAMILY FIRMS)

Expected Signs	Independent Variables And Intercept	Dependent Variable		Expected Signs	Independent Variables And Intercept	Dependent Variable					
		Tobin's Q				MBV		ROE		ROA	
		Coeff.	t-stats			Coeff.	t-stats	Coeff.	t-stats	Coeff.	t-stats
+/-	**Intercept**	1.453004	1.209731	+/-	**Intercept**	-0.296602	-0.111029	0.128348	0.304745	0.036731	0.205077
-	**Related Party Transactions Which Are Likely To Result In Expropriation Ratio (RPT)**	-0.140858	-0.948963	-	**Related Party Transactions Which Are Likely To Result In Expropriation Ratio (RPT)**	-0.262564	-1.054751	-0.064657	-0.856381	0.002937	0.091639
-	**Average Independent Directors' Tenure (TENURE)**	0.005559	0.463549	-	**Average Independent Directors' Tenure (TENURE)**	0.022656	1.031897	0.005650	0.978001	0.004348*	1.774526
-	**No. of Domestic Banks Engaged by the Firm (BANKS)**	0.692096*	1.892074	-	**No. of Domestic Banks Engaged by the Firm (BANKS)**	-0.031911	-0.206983	-0.014621	-0.319508	-0.026969	-1.404420
+	**Predicted Ownership Concentration (OCF)**	0.007079	0.275197	+	**Ownership Concentration (OC)**	0.013763	1.500703	0.001283	0.469282	0.000269	0.226548
+	**Ln (Firm Risk)**	0.227737***	5.447559	+/-	**Firm Size (SIZE)**	0.051487	0.400807	0.001068	0.059483	0.005555	0.702806
+/-	**Leverage (LEV)**	0.348625	1.020840	+	**Ln (Firm Risk)**	0.232525***	3.930982	0.047515*	1.855473	0.019304*	1.868424
+/-	**Independent Directors Ratio (IDR)**	-0.742257**	-2.522164	+/-	**Leverage (LEV)**	1.669066***	3.338037	0.136451	0.793248	-0.009054	-0.128159
+	**Non-Affiliated Blockholders (NAB)**	-0.000904*	-1.751941	+/-	**Independent Directors Ratio (IDR)**	-0.453636	-0.938678	-0.131228	-0.732872	-0.096390	-1.320361
+	**Ln (Age)**	0.055515	0.594128	+	**Non-Affiliated Blockholders (NAB)**	-0.001234	-1.181990	-0.000267	-1.096749	-0.00000363	-0.033242
+	**Sales Growth (SG)**	-0.000566	-1.106714	+	**Ln (Age)**	0.278873	0.985485	0.000477	0.014691	-0.007577	-0.549113
+	**R&D Expenditure-to-Sales (RDS)**	-0.048813	-0.732723	+	**Sales Growth (SG)**	-0.001013	-1.521138	0.000337	0.674301	0.000568***	3.598454

+	**Capital Expenditure-to-Sales (CS)**	-0.001139	-0.469532	+	**R&D Expenditure-to-Sales (RDS)**	0.015096	0.153819	-0.013613	-0.314976	0.021673	1.485063
+/-	**Marketing & Advertising Expenditure-to-Sales (MS)**	0.005153	0.632977	+	**Capital Expenditure-to-Sales (CS)**	-0.001310	-0.527898	-0.001973	-1.347733	-0.000429	-0.716311
+	**OCF x BANKS**	-0.015802**	-2.006795	+/-	**Marketing & Advertising Expenditure-to-Sales (MS)**	-0.012872	-0.690132	0.003250	1.080000	0.000942	0.739385
	N	151		+	**OC x BANKS**	-0.003476	-1.151056	-0.0000175	-0.017420	0.000376	0.888865
	Adjusted R-Squared (%)	10.0322			**N**	151		151		151	
	F-Statistic	4.150124			**Adjusted R-Squared (%)**	7.6287		0.9433		5.8387	
					F-Statistic	3.195844		1.253185		2.648668	

** 10% sig.level ** 5% sig.level *** 1% sig.level*

TABLE 11: ACTUAL REGRESSION RESULTS (MAIN RESULTS) : NORMAL OLS REGRESSION FIXED EFFECTS MODEL (FAMILY FIRMS AND NON-FAMILY FIRMS)

Expected Signs	Independent Variables And Intercept	Dependent Variable				Expected Signs	Independent Variables And Intercept	Dependent Variable			
		Tobin's Q		MBV				ROE		ROA	
		Coeff.	t-stats	Coeff.	t-stats			Coeff.	t-stats	Coeff.	t-stats
+/-	**Intercept**	3.102572***	6.871675	1.327327	1.476330	+/-	**Intercept**	-0.037729	-0.082942	0.061049	0.439684
-	**Related Party Transactions Which Are Likely To Result In Expropriation Ratio (RPT)**	0.003253	0.067757	-0.001176	-0.015756	-	**Related Party Transactions Which Are Likely To Result In Expropriation Ratio (RPT)**	-0.051077	-1.550616	-0.002292	-0.237183
-	**Average Independent Directors' Tenure (TENURE)**	-0.001012	-0.179677	0.001827	0.181152	-	**Average Independent Directors' Tenure (TENURE)**	0.010521***	3.357494	0.003488***	3.669490
-	**No. of Domestic Banks Engaged by the Firm (BANKS)**	0.012692	0.229881	-0.050232	-0.551981	-	**No. of Domestic Banks Engaged by the Firm (BANKS)**	-0.036075	-0.198621	-0.233503***	-4.175083
-	**Firm Type x BANKS**	0.018967	0.369536	0.125050	1.362884	-	**Firm Type x BANKS**	-0.200949	-1.306702	0.160927***	3.351292
+	**Ownership Concentration (OC)**	0.003197	1.194122	0.012848***	2.833854	+	**Predicted Ownership Concentration (OCF)**	0.012959	1.052009	0.003729	0.975371
+/-	**Firm Size (SIZE)**	-0.088261***	-4.165875	0.000119	0.002777	+/-	**Firm Size (SIZE)**	-0.013486	-0.769692	-0.004179	-0.767951
+	**Ln (Firm Risk)**	0.141913***	8.400425	0.159110***	6.388714	+	**Ln (Firm Risk)**	0.040876***	3.105530	0.011530***	3.041828
+/-	**Leverage (LEV)**	0.826540***	10.02501	0.189600	1.513342	+/-	**Leverage (LEV)**	-0.088626	-1.270915	-0.076510***	-4.035863
+/-	**Independent Directors Ratio (IDR)**	-0.352832**	-2.372617	-0.282815	-1.177542	+/-	**Independent Directors Ratio (IDR)**	-0.207372**	-2.178538	-0.060353*	-2.110393
+	**Non-Affiliated Blockholders (NAB)**	-0.000962***	-2.812055	-0.002069***	-3.209245	+	**Non-Affiliated Blockholders (NAB)**	-0.000206	-1.055495	-0.000000267	-0.004496
+	**Ln (Age)**	0.040285	1.100495	0.096968	0.988852	+	**Ln (Age)**	-0.010078	-0.592415	-0.006740	-1.301639

+	**Sales Growth (SG)**	0.0000323	0.276256	0.000103	0.533016	+	**Sales Growth (SG)**	0.000121	0.980121	0.0000622*	2.139883
+	**R&D Expenditure-to-Sales (RDS)**	-0.001272	-0.106262	-0.013979	-0.583376	+	**R&D Expenditure-to-Sales (RDS)**	0.001180	0.167191	0.002443	1.138804
+	**Capital Expenditure-to-Sales (CS)**	-0.0000224	-0.043354	0.000207	0.303337	+	**Capital Expenditure-to-Sales (CS)**	-0.000409	-1.038797	-0.0000328	-0.269971
+/-	**Marketing & Advertising Expenditure-to-Sales (MS)**	0.001278	0.352045	0.001149	0.208765	+/-	**Marketing & Advertising Expenditure-to-Sales (MS)**	0.001379	0.653030	0.000260	0.396102
+	**OC x BANKS**	-0.001249	-1.087384	-0.002453	-1.398466	+	**OCF x BANKS**	0.000488	0.118426	0.004981***	3.926755
+	**Firm Type x OC x BANKS**	0.000693	0.673057	0.000308	0.180006	+	**Firm Type x OCF x BANKS**	0.004577	1.312428	-0.003362***	-3.088689
-	**Firm Type**	-0.369660***	-3.681462	-0.826396***	-3.956718	-	**Firm Type**	0.014922	0.301982	-0.030236**	-1.989310
	N	530		530			**N**	530		530	
	Adjusted R-Squared (%)	13.7338		8.7432			**Adjusted R-Squared (%)**	3.5171		6.8641	
	F-Statistic	13.64865		8.612009			**F-Statistic**	3.896236		6.855429	

** 10% sig.level ** 5% sig.level *** 1% sig.level*